



PATCHWORK

THE PROBLEM



China's Fast Fashion Crisis

¥118.2 billion retail sales (March 2024)
- clothing, shoes, textiles

\$550 million USD daily revenue
opportunity

26 million tons of fast fashion waste
annually

Only 12-20% of textile waste recycled

High return rates from e-commerce
live streaming



The Problem

Most returned items become landfill
waste

Growing environmental concerns
Limited recycling infrastructure





OUR SOLUTION - PATCHWORK SHOES



What We Do ?

- **Upcycled footwear** made from returned fast fashion
- **Unique patchwork design** - every pair is different
- **Sustainable & fashionable** for identity-conscious consumers

The Innovation

- Transform waste into shoes
- Create individual style statements
- Build sustainable future through fashion



TARGET MARKET

Demographics

- **Age:** 18-35 years (Gen Z & Millennials)
- **Income:** Middle-income with disposable income
- **Psychographics:**
 - Sneaker culture enthusiasts
 - Sustainability-conscious
 - Value individuality and trends

Market Position

- Affordable sustainable footwear
- Local manufacturing
- Youth-focused design

SUPPLY CHAIN

SOURCE

PROCESS

EXPORT

MANUFACTURE



SOURCE

Partner with Pakistan's
Landa Bazaars (existing
global textile waste hub)



PROCESS

Sort, sanitize and
chemically recycle
existing garments in
Pakistan



EXPORT

Ships processed textile inputs into China (as upcycled fabric for industrial use).



MANUFACTURE

Create Patchwork Shoes in
Chinese Facilities.





Component	Cost per Unit	Total Cost for 50,000 Units	Notes
Recycled fabric (from Pakistan)	\$1.10	\$55,000	Landa Bazar + premium sorting, sanitization, packing
Processing (compliance, licenses, warehouse)	\$0.40	\$20,000	Includes sterilization certificate, port transport
Shipping & import to China	\$1.05	\$52,500	Freight + duties + customs clearance
Shoe manufacturing in China	\$4.20	\$210,000	Labor, soles, glue, utilities
Packaging (box, tag, wrap)	\$0.70	\$35,000	Eco + branded packaging
Branding & marketing	\$5.00	\$250,000	Aggressive digital + influencer campaign
Delivery (within China)	\$3.20	\$160,000	Fulfillment + courier (SF Express etc.)
Certifications & Compliance (Fixed)	–	\$3,500	GRS certificate, audit report, design registration
Technology Implementation	\$0.80	\$40,000	Inventory mgmt., AI analytics, GSAP/Three.js, Blockchain traceability, AI chatbot
TOTAL ESTIMATED COST [Maximum]	\$16.45	\$822,500	

FINANCIAL STRATEGY



PRODUCT & PRICING STRATEGY

Type	Price	Profit margin per unit	Percentage produced in the 50000 shoes
Entry-Level	¥149	20%	30%
Core Range	¥239	50%	30%
Premium Budget	¥398	70%	40%
Limited Editions	Variable price, produced in limited quantities		

Brand	Type	Typical Price (RMB)	Sustainable Focus
Huili	Budget Heritage	59-149	No
Feiyue	Budget Canvas	79-169	No
Anta	Mass Sportswear	129-299	Partial
Li-Ning	Premium Sports	199-599+	Partial
Triple	Local eco-brand	189-289	Yes
Nike/Addidas	Global Brands	299-499+	Yes



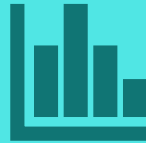
PROMOTION STRATEGY

1



Position shops
in urban areas
to generate
traffic to our
brand

2



Display ads on
3d billboards
and in railway
and subway
stations

3



Use in app-
advertisements
while selling in
apps like
TaoBao, JD,
Tmall etc.

4



For the
Patchwork
website, SEO
will be used
for search
engines like
Baidu and
Bing



Implementation of technology



Use an AI Inventory management system while working with the large amount of fabrics and stocks of shoes



AI analytics will help forecast trends in sales



Use the GSAP library and Three.js framework to make an eye-catching website



AI customer care service to reduce costs



A blockchain based ledger to record supply chain of the fabric transported



Blockchain for Traceability & Branding will be used to reduce time/cost during certification or while partnering with other brands.



Maximizing Savings Using AI in Our Supply Chain With JD



Inventory Efficiency

AI demand forecasting & restocking
Partner: *JD Cloud*



Supply Chain Optimization

Blockchain traceability, optimized logistics
Partner: JD logistics



Marketing & Ad Spend Efficiency

Smart targeting, trend prediction, ad performance optimization
Partner: *JD Cloud, Baidu AI Cloud*



Customer Support Automation

Chatbots for 24/7 multilingual service
Partner: *iFLYTEK (for voice/chat)*



Smart Pricing & Personalization

AI-driven dynamic pricing and product recommendations
Partner: *JD Cloud*

TIMELINE

JULY 2025

We transport raw materials, then begin large-scale productions on all three price tiers. Finalize logistics with companies(Caniao and JD Logistics). Lastly, prepare package and storage.



OFFICIAL PRODUCT LAUNCH

SEPTEMBER 2025

Launch our brand across JD, Tmall and Douyin. Begin our advertising and influencer partnerships.



HOLIDAY SALES & EXPANSION

NOVEMBER 2025

Major sales for popular days like Double 11 (Nov 11) and Double 12 (Dec 12). Additionally, we track performance, adjust marketing and prepare for New Year.



BRAND GROWTH & FUTURE EXPANSION

Obtaining Key Certifications and Labels



1. Mandatory National Standards:

- **GB 25038-2024:** Required for general safety for all footwear.
- **GB 30585-2024:** Safety for children's footwear.

2. Green/Sustainability Certifications:

- **China Green Product Certification and GB/T 44867-2024:** For **eco-friendly** and recycled products.
- **FSC (Forest Stewardship Council):** For **responsibly sourced** natural rubber or wood materials.
- **GRS (Global Recycled Standard):** For products made with **recycled materials**.

3. Other Voluntary Certifications:

- **GOTS, OEKO-TEX, Fairtrade, SA8000, LWG:** These certifications help in giving certifications for **organic, chemical safety, ethical labor, and sustainable leather**.

Measurement of success



At the end of selling 50,000 shoes we will make \$1,076,000 as profit (before tax) and our break even point at around 22000 shoes with an approx. profit margin of 56.64% .



Within the first year we will have gained enough attention to partner with big brands like Shein, H&M etc.



We will also be able to apply for China's green manufacturing subsidies or low-carbon supply chain funds.



Thank you